

financial crisis of 2008 and 2009, a central bank can choose to issue as much currency in the form of quantitative easing as it wants. It does this most often through open market operations, such as buying back government issued bonds and other assets to inject cash into the economy. Central bank activity can lead to drastic increases in the supply of a fiat currency, as we have seen in the U.S. dollar. Figure 8.1 shows a comparison of the supply schedules of bitcoin, the U.S. dollar, and gold.⁸